Quiz 5

ECON 308 – International Economic Relations

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Multiple-Choice Questions (1 mark each)

1. A *specific tariff* is defined as:

A. A tax levied as a percentage of the value of the imported good
B. A tax levied as a fixed amount per unit of the imported good
C. A tax that varies depending on domestic production
D. A tax imposed only on exports

2. For a *small country*, the welfare effect of a tariff includes:

A. Terms-of-trade gain only
B. Terms-of-trade gain minus deadweight loss
C. Only deadweight loss
D. Deadweight loss plus quota rents

3. A quota and a tariff are equivalent when:

A. Demand is perfectly inelastic
B. The foreign government collects the quota rents
C. The quota licenses are auctioned competitively
D. The tariff revenue is negative

4. A *voluntary export restraint (VER)* differs from a quota because:

A. It applies only to exports from the importing country
B. The importing government collects the rents
C. The exporting country collects the rents
D. It has no welfare effects

5. A *large country* imposing a tariff:

A. Cannot affect world prices

B. May improve its terms of trade

C. Always reduces its welfare

D. Always improves foreign welfare

6. The two types of deadweight loss from a tariff are:

A. Government revenue and quota rents

B. Production distortion and consumption distortion

C. Producer surplus loss and foreign revenue loss

D. Terms-of-trade loss and foreign welfare loss

7. The *effective rate of protection* (ERP) measures:

A. The tariff rate on the final good

B. The average tariff rate across all industries

C. The percentage increase in value added due to tariffs

D. The tariff burden on foreign exporters

Problem 1 (13 marks)

The domestic market for a good is described by:

$$Q_S = P - 50, \qquad Q_D = 400 - P.$$

The world price is $P_W = 150$. The country is *small.*

(1) Determine the free-trade domestic price, quantity supplied, quantity demanded, and imports.

(2) The government imposes a **specific tariff** of $t = 30$. Compute the new domestic price, Q_S, Q_D, and imports.

(3) Calculate government **tariff revenue**.

(4) Compute the **deadweight loss** of the tariff (production + consumption distortions).